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# Bank Recon for Beginners

What every figure on the Bank Recon screen means, where it comes from, and how to bring the Difference to zero each month.

## 01 What a reconciliation is

Every bank account has two records:

| | |
|---|---|
| YOUR BOOKS | What CORECS says is in the account: the GL cash-in-bank account, e.g. `101020101` CASH IN BANK – BDO PESO1. |
| THE BANK | What the bank statement says is in the account. |

On the last day of the month they almost never agree. Some transactions have been recorded on one side and haven't reached the other side yet. A bank reconciliation lists those **timing differences** and shows that, once you allow for them, both sides agree.

If they still don't agree, something is wrong or missing, and the **Difference** tells you how big it is.

## 02 A simple example

On August 31, CORECS says the account has `104,000.00` and the bank statement says `120,000.00`. Four things explain the gap:

| WHAT HAPPENED | IN CORECS? | ON THE STATEMENT? | NAME ON THE SCREEN |
|---|---|---|---|
| A customer's | Yes | No, the bank posts it | **Deposit in Transit (DIT)** |

| | | | |
|---|---|---|---|
| 30,000.00 collection was deposited on Aug 31 in the evening | | on Sep 1 | |
| A 45,000.00 cheque was issued to a supplier, and the supplier hasn't cashed it yet | Yes | No | **Outstanding Check (OC)** |
| The bank credited 1,500.00 interest | No, you only see it on the statement | Yes | **Bank Credit Memo (BCM)** |
| The bank deducted a 500.00 service charge | No | Yes | **Bank Charge (BC / BDM)** |

Each side is corrected separately:

Reconciliation worksheet · period end 2026-08-31 (example figures)

| BANK SIDE | | BOOK SIDE | |
|---|---|---|---|
| Bank Statement Balance | 120,000.00 | GL Book Balance | 104,000.00 |
| + Deposits in Transit | 30,000.00 | + Bank Credit Memos | 1,500.00 |
| − Outstanding Checks | 45,000.00 | − Bank Debit Memos / charges | 500.00 |
| = **Adjusted Bank Balance** | **105,000.00** | = **Adjusted Book Balance** | **105,000.00** |

Difference = Adjusted Bank − Adjusted Book **0.00 · reconciled**

| | |
|---|---|
| BANK SIDE | Correct it for things **you** recorded that the bank hasn't yet: deposits in transit, outstanding checks. |
| BOOK SIDE | Correct it for things **the bank** recorded that you haven't yet: credit memos, debit memos, charges, auto-debits, bounced cheques. |

## 03 Every figure on the screen

### Top of the screen

| FIELD | WHAT IT IS |
|---|---|
| **Branch** | Which recon file to open. All bank recon files live under **888 (Head Office)**, so pick 888. It does *not* filter the GL: one bank account has one statement, so the GL figure always covers every branch. |
| **Bank Account** | The GL cash-in-bank account, e.g. `101020107` CASH IN BANK – MBTC PESO1. |
| **Period End** | The last day of the month you're reconciling. The screen moves any date you pick to the month end. |
| **GL Book Balance** | Filled in by CORECS. The **ending balance** of the bank account on Period End, all branches: every posted ticket line from the July 31 opening up to that date. It is not the month's movement. While the month is open it updates live; once the month is locked it's frozen. |
| **Bank Statement Balance** | **You type this.** The ending balance printed on that month's bank statement. Click **Save Balance** after typing it. Until you do, the Difference means nothing. |

### Tab: Deposit In Transit || Outstanding Checks

| ITEM | MEANING | WHERE IT COMES FROM | WHAT YOU DO |
|---|---|---|---|
| **Deposit in Transit (DIT)** | Money recorded as received into the bank that the bank hasn't shown yet. | Created automatically when a client payment (OR) is posted, grouped by the **Control No** typed at payment time (the deposit batch). July items loaded from Peachtree show their Peachtree reference as the Control No. | When the deposit appears on the statement, tick it and click **Mark Cleared**, or **Resolve Entire Batch** for a whole Control No. |

| | | | |
|---|---|---|---|
| | | | No. |
| **Outstanding Check (OC)** | A cheque or transfer you issued that the bank hasn't paid out yet. | Created automatically by supplier payments, cash advances and Manual JVs that credit the bank, grouped by CV #. | When the cheque appears on the statement as encashed, mark it cleared. **Auto-Match Cleared Checks** can do part of this for you. |

### Tab: Bank-Side Items (BDM / BCM / Auto-Debit)

Things the bank did that CORECS doesn't know about yet. You add them from the statement with **Add Bank Item**.

| TYPE | MEANING | EFFECT ON THE BOOK SIDE |
|---|---|---|
| **BCM · Bank Credit Memo** | The bank added money: interest, a direct deposit. | ADDS |
| **BDM · Bank Debit Memo** | The bank took money out. | REDUCES |
| **BC · Bank Charges** | Service fees. | REDUCES |
| **NSF · Bounced cheque** | A customer's cheque bounced. | REDUCES |
| **ADB · Auto-Debit** | The bank paid someone directly, e.g. a broker. **Post Payment...** books it against the supplier's invoice and clears the item. | REDUCES |

Once a bank-side item has been booked in the GL by a proper entry (e.g. a JV for bank charges), mark it cleared. Otherwise it's counted twice: once in the GL Book Balance and again as an open item.

### The Reconciliation Summary box

How the screen calculates

BANK SIDE

BOOK SIDE

| | | | | | |
|---|---|---|---|---|---|
| | Bank Statement Balance<br>what you typed | A | | GL Book Balance<br>from CORECS | D |
| + | Add: Deposits in Transit<br>every uncleared DIT | B | + | Add: Bank Credit Memos<br>uncleared BCM | E |
| − | Less: Outstanding Checks<br>every uncleared OC | C | − | Less: Bank Debit Memos / Auto-Debits<br>uncleared BDM, BC, NSF, ADB | F |
| = | **Adjusted Bank Balance** | **A + B − C** | = | **Adjusted Book Balance** | **D + E − F** |

☐ Highlighted = the figure you type

| | |
|---|---|
| 0.00 | Reconciled. You can **Lock Period**, which freezes the month. Lock is refused unless the Difference is 0. |
| POSITIVE | The adjusted bank is higher. Something is on the bank that isn't in your books or in the open items, e.g. a deposit or credit that was never recorded. |
| NEGATIVE | The adjusted book is higher. Something is in your books that the bank doesn't have and isn't listed as open, e.g. a recorded deposit that was never made, or a missing outstanding check. |

## 04 Open items carry forward

This is the most important idea. The Deposit in Transit and Outstanding Checks totals are **not** “this month's deposits and cheques”. They are **everything not yet cleared, from this month and every earlier month**.

A cheque issued in July and still not encashed in September appears in July's, August's and September's Outstanding Checks until you mark it cleared. That's why the uncleared July items from Peachtree were loaded: August and later months need them.

### Example: MBTC PESO 1, Deposit in Transit on Aug 31

The Aug 31 Deposit in Transit is 9,585,171.72, while the General Ledger report shows August debits of 9,308,781.72. They differ for two reasons:

101020107 CASH IN BANK – MBTC PESO1 · period end 2026-08-31

| | | |
|---|---|---|
| | GL debits in August | 9,308,781.72 |
| – | 6 collections reversed later (never deposited)<br>The GL keeps the original debit and posts the reversal as a credit, so the debit total still includes them. | 90,088.90 |
| = | **August deposits still uncleared (250 payments)** | **9,218,692.82** |
| + | July deposits carried from Peachtree<br>K2607-28-A, K2607-29-A, K2607-30-A, K2607-31-A, M2607-31-A | 366,478.90 |
| = | **Deposit in Transit on the Aug 31 recon** | **9,585,171.72** |

None of the August deposits had been ticked yet, so all of them were still counted. When the accountant ticks the ones on the August statement, the figure drops to whatever is really still in transit on Aug 31.

## 05 Real example: BDO PESO 1, July 31

This period reconciles to zero. It's the balance forward loaded from the Peachtree July reconciliation.

101020101 CASH IN BANK – BDO PESO1 · period end 2026-07-31 · branch 888

**BANK SIDE**

| | | |
|---|---|---|
| | Bank Statement Balance | 3,703,850.09 |
| + | Deposits in Transit<br>N2607-31-A and 2 Peachtree GJ items | 108,541.63 |
| – | Outstanding Checks<br>9 cheques, e.g. CV2607-086 / 3,382,485.00 | 7,332,485.00 |
| = | **Adjusted Bank Balance** | **–3,520,093.28** |

**BOOK SIDE**

| | | |
|---|---|---|
| | GL Book Balance | –3,520,093.28 |
| + | Bank Credit Memos | 0.00 |
| – | Bank Debit Memos / charges | 0.00 |
| = | **Adjusted Book Balance** | **–3,520,093.28** |

| | |
|---|---|
| Difference | 0.00 · reconciled |

**Why the GL is negative:** the company issued more in cheques than it had in the account, but the bank only pays a cheque when it's presented. The bank still shows a positive 3.7M because 7.3M of cheques haven't been cashed yet.

## 06 The monthly routine

1. **Open the period.** Branch 888, the Bank Account and the Period End (e.g. 2026-08-31), then **Load**.
2. **Enter the statement balance.** Type the statement's ending balance in Bank Statement Balance and click **Save Balance**.
3. **Go down the bank statement line by line.**
   - A deposit on the statement: find it under DIT and mark it **Cleared**.
   - An encashed cheque: find it under OC and mark it **Cleared**, or try **Auto-Match Cleared Checks** first.
   - Interest, a charge, an auto-debit or a bounced cheque that isn't in the books: **Add Bank Item** with the right type.
4. **Read the Difference.**
   - **0.00:** book the bank-side items in the GL (e.g. a JV for charges), mark them cleared, check the Difference is still 0.00, then click **Lock Period**.
   - **Not zero:** look for a statement line you haven't matched, an item cleared by mistake (right-click › **Mark as Uncleared**), or an amount typed wrong.
5. **Next month** starts with every item you didn't clear already listed.

## 07 Try it yourself

Change any figure to see how the Difference moves. It starts with the simple example from section 2.

| BANK SIDE | BOOK SIDE |
|---|---|
| Bank Statement | |

| | | | |
|---|---|---|---|
| Bank Statement Balance | 120,000.00 | GL Book Balance | 104,000.00 |
| + Deposits in Transit | 30,000.00 | + Bank Credit Memos | 1,500.00 |
| − Outstanding Checks | 45,000.00 | − Debit Memos / charges | 500.00 |
| **Adjusted Bank** | **105,000.00** | **Adjusted Book** | **105,000.00** |

Difference **0.00 · reconciled**

Reset to the example

## 08 Common questions

**Do I need to enter the bank statement balance first?**

Yes. Without it the screen treats the bank as 0.00, and the Difference means nothing.

**Why doesn't the GL Book Balance match the General Ledger report for one month?**

It's the cumulative ending balance, not the month's debits minus credits. Compare it with the Trial Balance or the GL ending balance on that date, with all branches.

**Why doesn't Deposit in Transit equal the month's GL debits?**

Deposit in Transit counts every uncleared deposit from any month, and leaves out collections that were reversed. See the MBTC example in section 4.